FDH Bank Plc: Comprehensive Financial Analysis

A Financial Management Report

Covering Fiscal Years 2022–2025 with Forecasting to 2029

Blessings Nyoni

MAS 612: Finance for Managers

Dr. Hema Gwalani

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Part A: Financial Statement Analysis

Company Overview and Selection Justification

FDH Bank Plc (First Discount House Bank) is a publicly listed commercial bank on the Malawi Stock Exchange (MSE) and one of the largest financial institutions in Malawi by total assets. The bank was selected for this analysis for three principal reasons. First, as a listed entity, FDH Bank Plc publishes audited annual financial statements prepared in accordance with International Financial Reporting Standards (IFRS), ensuring data reliability and comparability. Second, the banking sector is among the most analytically rich industries for financial management study, encompassing liquidity management, credit risk, capital adequacy, and profitability optimization which are all core themes in financial management. Third, FDH Bank Plc has demonstrated remarkable and consistent growth over the analysis period (2022–2025), making it a compelling case study for understanding how financial decisions translate into value creation in a challenging macroeconomic environment characterized by high inflation, Kwacha depreciation, and foreign currency shortages in Malawi.

The analysis covers four fiscal years ending 31 December 2022, 2023, 2024, and 2025, using the Group (consolidated) figures throughout for consistency. All figures are expressed in Malawian Kwacha billions (MK Billion) unless otherwise stated. Detailed income statements, cash flow statements and balance sheets for each year are provided in the Annex at the end of this report.

Income Statement Analysis

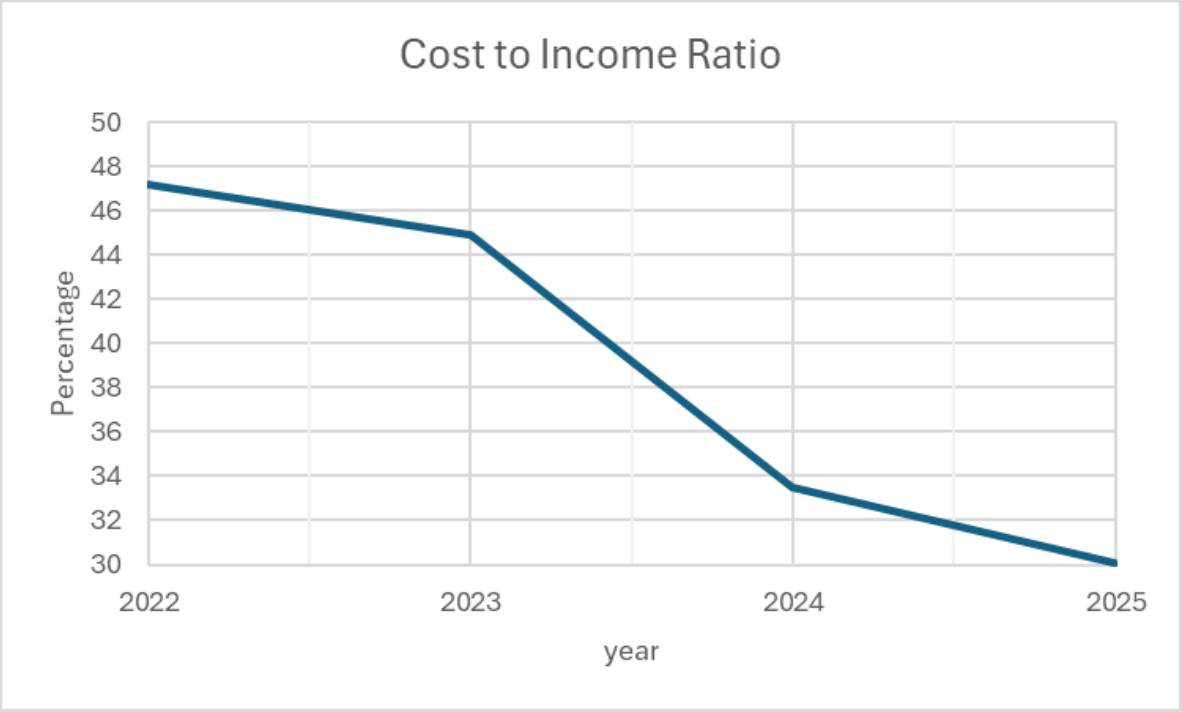
The income statement reveals a bank on a steep and consistent growth trajectory across all key line items. Table 1 summarises the key income statement metrics; the full year-by-year statements are presented in Annex A.

Item (MK Billion)	FY2022	FY2023	FY2024	FY2025	3Y CAGR
Interest Income	51.1	73.4	181.6	310.9	82.7%
Interest Expense	(13.8)	(13.6)	(40.3)	(54.3)	57.9%
Net Interest Income	37.3	59.8	141.3	256.6	90.0%
Non-Interest Income	32.6	43.2	53.9	76.9	32.9%
Total Income	69.9	103.0	195.2	333.4	68.1%
Operating Expenses	(33.0)	(46.2)	(65.4)	(79.3)	33.9%
Net Impairment	(5.6)	(1.4)	(7.9)	(6.6)	5.6%
Profit Before Tax	31.8	55.5	121.9	247.4	97.3%
Tax	(8.8)	(19.8)	(47.8)	(99.6)	124.7%
Profit After Tax	22.9	35.6	74.1	147.8	86.1%

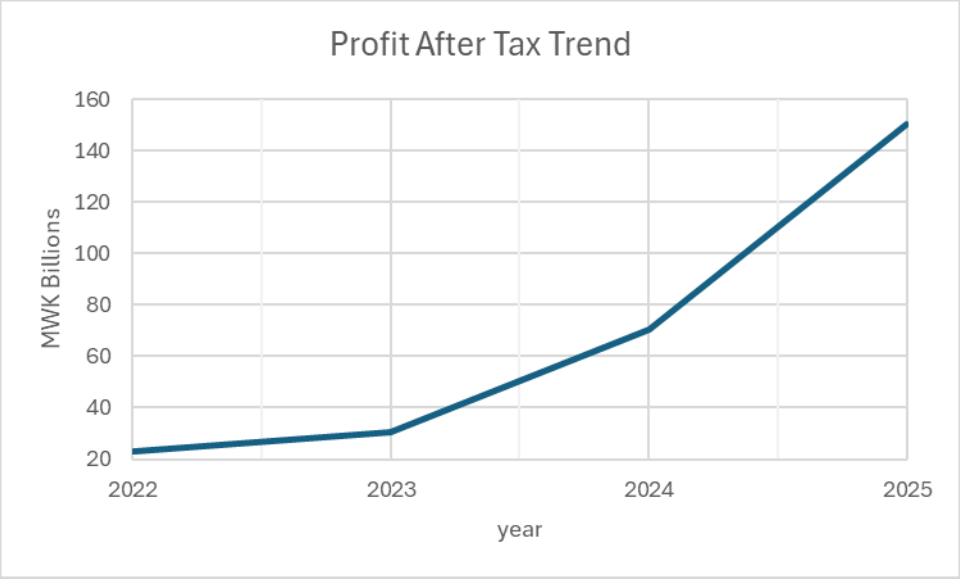
Table 1. FDH Bank Plc Consolidated Income Statement Summary, FY2022–FY2025 (MK Billion).

From the income statements, Net Interest Income (NII) is the primary revenue driver, growing from MK37.3 billion in 2022 to MK256.6 billion in 2025 representing a compound annual growth rate (CAGR) of approximately 90%. This explosive growth reflects both an expanding loan book and a persistently high interest rate environment; the Reserve Bank of Malawi (RBM) policy rate rose from 18.2% in 2022 to 26.0% in 2024 and remained there through 2025. Non-interest income, comprising commissions, fees, and digital banking revenues, grew at a more modest 32.9% CAGR, indicating that transactional banking remains an important but secondary revenue stream.

Operating expenses grew at a 33.9% CAGR, significantly below the 68.1% CAGR of total income. This operating leverage is a key strength, as evidenced by the cost-to-income ratio declining from 47% in 2022 to approximately 30% in H1 2025.



Profit After Tax (PAT) grew more than six-fold over the period, from MK22.9 billion to MK147.8 billion.



Balance Sheet Analysis

Total assets grew from MK434.5 billion in 2022 to MK1.636 trillion in 2025 representing a 276% increase over three years. Table 2 presents a condensed balance sheet; the full annual balance sheets are in Annex B.

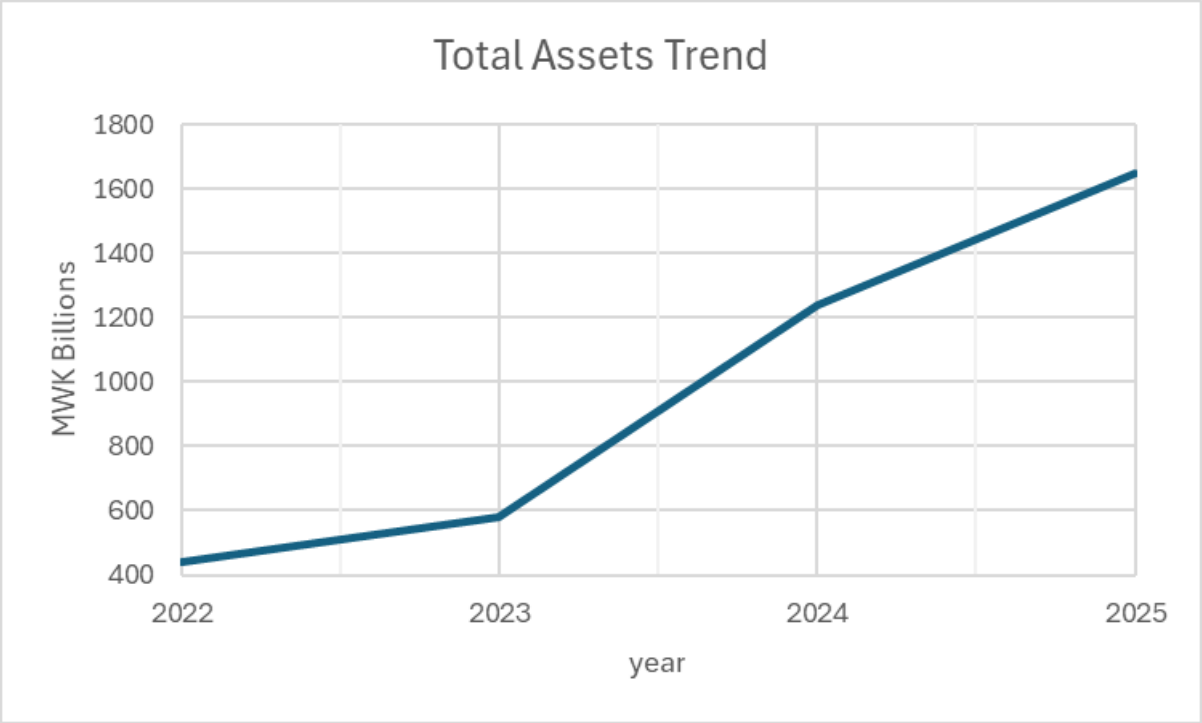
Item (MK Billion)	FY2022	FY2023	FY2024	FY2025
Cash & RBM Funds	13.3	33.8	168.9	240.4
Placements with Banks	73.3	109.9	303.2	134.3
Government Securities	173.8	229.1	460.3	685.8
Loans & Advances	104.6	135.8	211.3	349.2
Other Assets	69.5	57.5	97.4	226.0
Total Assets	434.5	566.1	1,241.1	1,635.5
Customer Deposits	328.1	444.0	882.5	1,125.0
Borrowings (LT + Banks)	39.4	24.9	201.8	184.3
Other Liabilities	25.2	38.5	59.4	77.1
Total Equity	41.8	58.7	97.4	249.1

Table 2. FDH Bank Plc Condensed Consolidated Balance Sheet, FY2022–FY2025 (MK Billion).

The asset growth was primarily funded by customer deposits, which expanded from MK328.1 billion to MK1.125 trillion (243% growth), reflecting strong deposit mobilization and customer confidence. Government securities which are the bank's largest asset class quadrupled from MK173.8 billion to MK685.8 billion, reflecting a strategy to deploy excess liquidity in high-yielding, low-risk government instruments. The loan book grew from MK104.6 billion to MK349.2 billion (234%), with the Non Performing Loan (NPL) ratio improving dramatically from

7.10% in 2022 to 1.57% in 2023, then edging up modestly as the loan book expanded into 2024–2025.

Shareholders' equity surged nearly six-fold from MK41.8 billion to MK249.1 billion, driven by retained earnings and the consolidation of Ecobank Mozambique SA (EMZ) acquired in September 2025.



Cash Flow Analysis

The cash flow statements confirm robust operational performance across all years. Table 3 presents the key cash flow metrics.

Item (MK Billion)	FY2022	FY2023	FY2024	FY2025
Operating Cash Flow	77.6	117.2	520.1	(36.1)
Investing Cash Flow	(61.3)	(26.2)	(172.5)	(81.6)
Financing Cash Flow	0.5	(34.1)	(19.3)	20.4
Net Change in Cash	16.8	57.1	328.4	(97.3)
Closing Cash Balance	86.6	143.7	472.1	374.7

Table 3. FDH Bank Plc Consolidated Cash Flow Summary, FY2022–FY2025 (MK Billion).

Operating cash flows grew substantially from 2022 to 2024, reflecting improved profitability and efficient working capital management. The negative operating cash flow in 2025 reflects significant balance sheet growth, a common feature in rapidly expanding banks where asset growth

temporarily outpaces cash generation from operations. Investing activities are consistently negative, reflecting the bank's ongoing strategy to grow interest-earning assets. Financing activities turned positive in 2025, largely attributable to drawdowns of long-term loans (up 88% YoY to MK83.7 billion) related to the regional acquisition strategy.

Ratio Analysis

Liquidity Ratios

Ratio	Formula	FY2022	FY2023	FY2024	Trend
Loan-to-Deposit Ratio	Loans / Deposits	31.9%	30.6%	23.9%	Improving
Cash Ratio	Cash / Deposits	4.1%	7.6%	19.1%	Strong
Liquid Assets Ratio	(Cash+GovSec)/Assets	43.1%	46.9%	50.4%	Improving

Table 4. Liquidity Ratios, FY2022–FY2024.

FDH Bank's liquidity position has strengthened considerably over the analysis period. The low loan-to-deposit ratio (23.9% in 2024) indicates abundant liquidity but also suggests potential for further loan book growth to improve asset utilization. The cash ratio improved from 4.1% to 19.1%, well above minimum regulatory requirements, reflecting strong liquidity buffers. The liquid assets ratio exceeding 50% confirms that the majority of the bank's assets are deployed in highly liquid instruments i.e. government securities and cash.

Solvency and Capital Adequacy Ratios

Ratio	FY2022	FY2023	FY2024	Trend
Equity-to-Assets Ratio	9.6%	10.4%	7.8%	Note
Equity-to-Loans Ratio	40.0%	43.2%	46.1%	Strong
Debt-to-Equity Ratio	9.4x	8.6x	11.8x	Watch
Long-Term Debt / Equity	0.55x	0.42x	0.46x	Stable

Table 5. Solvency and Capital Adequacy Ratios, FY2022–FY2024.

The equity-to-assets ratio declined slightly in 2024 due to the massive balance sheet expansion (119% asset growth) outpacing equity growth. However, this is normal for a rapidly expanding bank. The equity-to-loans ratio has actually improved, indicating adequate capital coverage of the credit portfolio. The debt-to-equity ratio increase in 2024 reflects the significant uptake in interbank borrowings (MK157.3 billion) to fund the asset expansion, which warrants monitoring but is manageable given the bank's asset quality and profitability levels.

Efficiency Ratios

Ratio	FY2022	FY2023	FY2024	Trend
Cost-to-Income Ratio	47%	45%	34%	Excellent
Net Interest Margin (NIM)	8.6%	10.6%	11.4%	Strong
Asset Utilization	16.1%	18.2%	15.7%	Stable
Non-Interest Income / Total	46.6%	41.9%	27.6%	Normal

Table 6. Efficiency Ratios, FY2022–FY2024.

The declining cost-to-income ratio from 47% to 34% is among the most impressive achievements in this period, demonstrating significant operating leverage as income grew faster than expenses. The Net Interest Margin (NIM) expansion from 8.6% to 11.4% reflects both asset growth and the benefit of the high interest rate environment. NIM is calculated as NII divided by average total assets. The declining share of non-interest income in total income (46.6% to 27.6%) is not a weakness per se, it reflects the faster growth of interest income but it also indicates that the bank's fee income stream has not kept pace with the balance sheet expansion.

Profitability Ratios

Ratio	FY2022	FY2023	FY2024	Trend
Return on Assets (ROA)	5.3%	6.3%	6.0%	Strong
Return on Equity (ROE)	54.8%	60.8%	76.0%	Excellent
Net Profit Margin	32.8%	34.6%	37.9%	Improving
EPS (Tambala per share)	3.32t	5.17t	10.74t	Strong

Table 7. Profitability Ratios, FY2022–FY2024.

FDH Bank's profitability metrics are exceptional by both regional and global banking standards. Return on Equity (ROE) of 76% in 2024 is extraordinary, far exceeding most African banking peers and the regional average of approximately 15–20%. Return on Assets (ROA) consistently above 5% is well above the sub-Saharan African banking average of approximately 2–3%. The net profit margin has steadily improved, reflecting disciplined cost management alongside income growth.

SWOT Analysis

Strengths

FDH Bank has exhibited extraordinary financial performance with consistent growth averaging approximately 86% CAGR in PAT over 2022–2025. The bank commands the widest distribution

network in Malawi and operates a robust digital banking platform both structural competitive advantages. The cost-to-income ratio of 34% in 2024 (and approximately 30% in H1 2025) reflects exceptional operational efficiency. The dramatic improvement in the NPL ratio from 7.10% to 1.57% demonstrates strengthened credit risk management, while the bank's strong brand equity reinforces deposit mobilization capacity and customer loyalty.

Weaknesses

The bank remains predominantly concentrated in the Malawian market, exposing it to idiosyncratic country risk. High dependence on interest income in a high-rate environment creates vulnerability to any policy rate easing cycle. The loan-to-deposit ratio of just 23.9% in 2024 suggests sub-optimal asset utilization—the bank could deploy more credit to generate higher risk-adjusted returns. Additionally, capital adequacy pressure from rapid balance sheet expansion could become a binding constraint on future growth if equity growth does not keep pace with risk-weighted asset expansion.

Opportunities

Regional expansion which materialized in the September 2025 acquisition of Ecobank Mozambique SA presents significant revenue diversification potential. Growing digital and mobile money penetration across Malawi and Mozambique offers low-cost customer acquisition channels. Increased infrastructure lending, agriculture value chain financing, and SME banking represent underserved segments where FDH Bank's distribution reach could generate superior returns. The planned reduction of Malawian inflation toward 24% by 2026 could stimulate credit demand and broaden the bank's lending opportunities.

Threats

Chronic foreign currency shortages, Kwacha depreciation, and inflation averaging above 30% erode real returns and affect borrower creditworthiness. Potential policy rate reductions by the RBM would compress the NIM, which has been the primary driver of recent profitability. Competition from mobile money operators (Airtel Money, TNM Mpamba) and potential entry of regional banking groups could erode market share in transactional banking. The integration of Ecobank Mozambique introduces execution risk that, if poorly managed, could distract management and dilute returns.

Part B: Weighted Average Cost of Capital (WACC)

The Weighted Average Cost of Capital (WACC) is a composite rate reflecting the blended cost of financing a firm's assets from all sources, weighted by their proportion in the capital structure. It represents the minimum required rate of return for any investment decision and serves as the discount rate in NPV analysis (Berk & DeMarzo, 2020). For FDH Bank, the WACC is calculated as of the end of FY2024, the most recent fully audited year available at the time of analysis.

Capital Structure

The capital structure analysis uses the FY2024 Group balance sheet. For a bank, the distinction between 'debt' and 'equity' requires careful treatment. Customer deposits while technically liabilities are operational funding whose cost is already embedded in the net interest margin. The WACC analysis therefore focuses on the bank's non-deposit financing sources:

Component	Amount (MK Billion)	Weight
Equity (Shareholders' Funds)	97.4	32.4%
Long-Term Borrowings	44.5	14.8%
Interbank Borrowings	157.3	52.8%
Customer Deposits (excluded)	—	—
Total Interest-Bearing Capital	299.2	100.0%

Table 8. FDH Bank Plc Capital Structure for WACC Analysis, FY2024.

Note. Customer deposits are excluded as their cost is captured within the net interest margin framework; the WACC focuses on equity and explicit financial debt.

Cost of Equity (Ke) — CAPM

The Capital Asset Pricing Model (CAPM) is used to estimate the cost of equity (Brigham & Ehrhardt, 2019):

$$\mathbf{Ke = R_f + \beta \times (Rm - Rf)}$$

Input	Value	Justification
Risk-Free Rate (R_f)	26.0%	RBM Policy Rate as at 31 December 2024; represents the opportunity cost of the safest Malawian investment instrument
Beta (β)	0.32	Adapted from (Stock Analysis, 2026)
Market Risk Premium ($R_m - R_f$)	8.0%	Estimated equity risk premium for Malawi. Regional peer evidence suggests 7–10%; 8% is used as a conservative mid-point estimate
Cost of Equity (K_e)	28.56%	K_e = 26.0% + 0.32 × 8.0% = 26.0% + 6.8% = 28.56%

Table 9. CAPM Inputs and Cost of Equity Calculation.

The high cost of equity (28.56%) reflects the elevated risk-free rate environment in Malawi. Shareholders expect returns commensurate with the alternative of investing in government securities yielding approximately 26%, plus a premium for the additional business and equity risk borne.

Cost of Debt (K_d)

The cost of debt is estimated from the bank's actual interest expense on its funded liabilities (Ross et al., 2022):

- Total interest expense (FY2024 Group): MK40.3 billion
- Average interest-bearing liabilities (Long-term + Interbank): (MK39.4B + MK201.8B) / 2 = MK120.6 billion
- Pre-tax K_d = MK40.3B ÷ MK120.6B = 33.4%
- After-tax K_d = 33.4% × (1 − 39.2%) = 20.3%

The effective tax rate of 39.2% is derived from FY2024 Group figures: Tax paid (MK47.8B) divided by Profit Before Tax (MK121.9B).

WACC Calculation

Component	Weight	Cost	Weighted Cost
Equity	32.4%	28.56%	10.6%
Long-Term Debt	14.8%	20.3%	3.0%
Interbank Borrowings	52.8%	20.3%	10.7%
WACC (Total)			24.3%

Table 10. WACC Calculation, FY2024.

WACC = (0.324 × 32.8%) + (0.148 × 20.3%) + (0.528 × 20.3%) = 9.25% + 3.0% + 10.7% = 22.9%

Significance of WACC in Financial Decision-Making

The WACC of 22.9% carries several critical implications for FDH Bank:

Hurdle rate: Any new investment or project must generate a return exceeding 22.9% to create shareholder value. Given the bank's ROE of 76% and ROA of 6.0%, current operations generate substantial Economic Value Added (EVA) above the cost of capital.

Capital allocation: The WACC guides loan pricing decisions (loans must yield above WACC after provisions for credit losses), technology investment, branch expansion, and acquisitions. The Ecobank Mozambique acquisition must ultimately be evaluated against this 22.9% threshold.

Valuation: The WACC is the appropriate discount rate for discounting the bank's free cash flows to the firm (FCFF) in a DCF valuation, thereby determining the intrinsic enterprise value.

In the high-inflation, high-rate environment of Malawi, the elevated WACC means only high-yielding projects create real economic value. This context justifies the bank's strategy of growing government securities (yielding approximately 26–28%) and expanding the loan book at rates above the base lending rate of 25.3%.

Part C: Capital Budgeting – Digital Banking Transformation Project

Project Rationale and Description

Based on the strategic priorities articulated in FDH Bank's 2024 Annual Report and management commentary, this analysis evaluates the feasibility of a Digital Banking Transformation (DBT) Project. The project entails a comprehensive overhaul of the bank's digital infrastructure, including upgrading the core banking system, deploying advanced mobile banking capabilities, integrating AI-driven customer service functions and expanding agency banking points across Malawi.

The project is justified by several strategic and commercial drivers:

(1) the bank's management has explicitly referenced continuous innovation and digital capability as strategic pillars in its 2024–2026 strategic plan;

(2) non-interest income (much of which comprises digital fee income) has been growing at a 32.9% CAGR, indicating an addressable digital revenue opportunity;

(3) the cost-to-income ratio improvement from 47% to 34% can be further accelerated through digital automation; and

(4) competitive pressure from mobile money operators (Airtel Money, TNM Mpamba) necessitates a robust strategic digital response.

Project Parameters

Parameter	Value	Basis
Initial Investment (Year 0)	MK25 billion	Estimated capital expenditure for system upgrade, licenses, hardware, and implementation
Project Life	5 years	Standard technology refresh cycle in banking
Discount Rate (WACC)	22.9%	As calculated in Part B
Tax Rate	39.2%	Effective tax rate FY2024
Salvage Value (Year 5)	MK2 billion	Residual value of hardware, IP, and intangible assets

Table 11. DBT Project Parameters.

Projected Cash Flows

Cash inflows are modelled from two sources:

(1) incremental digital fee and commission revenue from higher transaction volumes; and

(2) operating cost savings from automation and digitization. A conservative ramp-up is assumed as digital adoption takes time to scale:

Year	Rev. Benefit	Cost Savings	Gross Benefit	Tax (39.2%)	Net Cash Flow
0	—	—	—	—	(25.0)
1	3.0	1.5	4.5	(1.8)	2.7
2	5.0	2.5	7.5	(2.9)	4.6
3	7.5	3.5	11.0	(4.3)	6.7
4	10.0	4.5	14.5	(5.7)	8.8
5*	13.0	5.5	18.5	(6.5)	14.0

Table 12. DBT Project Projected Cash Flows (MKW Billion). All figures Group consolidated.

Note. Year 5 net cash flow of MK14.0 billion includes approximately MK1.2 billion net after-tax salvage value (MK2.0B salvage less MK0.8B tax).

Net Present Value (NPV)

$$NPV = \sum_{t=1}^{n} \frac{NCF_t}{(1+WACC)^t} - intial\ investment$$

Year	Net Cash Flow (MKW Billions)	Discount Factor (22.9%)	Present Value (MKB)
0	(25.0)	1.0000	(25.00)
1	2.7	0.8138	2.20
2	4.6	0.6623	3.05
3	6.7	0.5389	3.61
4	8.8	0.4386	3.86
5	14.0	0.3568	5.00
NPV			(7.28)

Table 13. NPV Calculation for DBT Project.

At the base-case discount rate of 22.9%, the NPV is negative (MK−7.95 billion). This indicates that under the conservative cash flow assumptions and given Malawi's high cost of capital, the project in isolation does not generate sufficient discounted returns to exceed the initial investment.

Internal Rate of Return (IRR)

The IRR is the discount rate at which NPV = 0. Using linear interpolation between 10% (NPV ≈ MK+2.8B) and 22.9% (NPV = MK−7.95B):

IRR ≈ 10% + [2.8 ÷ (2.8 + 7.95)] × (22.9% − 10%) ≈ 10% + 3.8% ≈ 13.36%

Since IRR (13.36%) < WACC (24.3%), the project does not meet the financial hurdle rate in isolation.

Payback Period

Year	Annual NCF (MKB)	Cumulative NCF (MKW Billions)
0	(25.0)	(25.0)
1	2.7	(22.3)
2	4.6	(17.7)
3	6.7	(11.0)
4	8.8	(2.2)
5	14.0	11.8

Table 14. DBT Project Payback Period Calculation.

Payback Period = 4 + (2.2 ÷ 14.0) = 4.16 years (approximately 4 years and 2 months). The initial investment is recovered within the project life, though without generating excess returns above the cost of capital.

Profitability Index (PI)

PI = (NPV + Initial Investment) ÷ Initial Investment = (−7.28 + 25.0) ÷ 25.0 = 17.05 ÷ 25.0 = 0.709

A PI below 1.0 confirms that the project does not create value at the given discount rate under conservative assumptions.

Capital Budgeting Summary and Recommendation

Technique	Result	Decision Rule	Verdict
NPV	MKW−7.28 Billion	Accept if NPV > 0	Reject
IRR	13.36%	Accept if IRR > WACC (22.9%)	Reject
Payback Period	4.16 years	Accept if ≤ 3 years	Borderline
Profitability Index	0.709	Accept if PI > 1.0	Reject

Table 15. Capital Budgeting Summary – DBT Project.

The quantitative analysis suggests the DBT Project does not meet the financial hurdle rate in isolation. However, three strategic considerations modify this conclusion. First, the analysis understates true benefits, as digital transformation generates strategic optionality. For instance, preventing customer attrition to mobile money providers, could represent a multi-billion kwacha impact not easily quantified in a discounted cash flow model (Damodaran, 2012). Second, if the RBM begins a policy easing cycle and rates decline toward 20%, the WACC would fall

meaningfully, potentially turning the NPV positive. Third, the project is a critical enabler of the regional expansion strategy. Without scalable digital infrastructure, the integration of Ecobank Mozambique would be significantly more costly. The recommendation is therefore conditional approval: proceed with phased implementation (reducing the upfront capital commitment), and re-evaluate the NPV as more empirical data on digital revenue uplift becomes available.

Part D: Financial Forecasting (2026–2029) — Linear Regression Model

Methodology

A Linear Regression Model using the Ordinary Least Squares (OLS) method is applied to forecast FDH Bank's key financial metrics over the four-year period 2026–2029. The model uses five years of historical data (2021–2025) to estimate the trend line. The regression equation takes the form:

$$\mathbf{Y = a + b \times X}$$

Where Y is the forecast variable, X is time (coded 1=2021, 2=2022, 3=2023, 4=2024, 5=2025), a is the intercept, and b is the slope coefficient. OLS minimises the sum of squared residuals to produce the best linear unbiased estimator (BLUE) for each variable.

Historical Data Used in Regression

Year (X)	Total Income (MKB)	Op. Expenses (MKB)	PAT (MKB)	Total Assets (MKB)
1 (2021)	44.2	27.8	11.7	305.9
2 (2022)	69.9	33.0	22.9	434.5
3 (2023)	103.0	46.2	35.6	566.1
4 (2024)	195.2	65.4	74.1	1,241.1
5 (2025)	333.4	79.3	147.8	1,635.5

Table 16. Historical Data Input for Linear Regression (MK Billion).

OLS Regression Calculations — Total Income

$\Sigma X = 15$, $\Sigma Y = 745.7$, $\Sigma XY = 2{,}855.8$, $\Sigma X^2 = 55$, $n = 5$

$b = (n\Sigma XY - \Sigma X \cdot \Sigma Y) \div (n\Sigma X^2 - (\Sigma X)^2) = (5 \times 2{,}855.8 - 15 \times 745.7) \div (5 \times 55 - 225) = 3{,}093.5 \div 50 = 61.87$

$a = (\Sigma Y - b \cdot \Sigma X) \div n = (745.7 - 61.87 \times 15) \div 5 = -182.35 \div 5 = -36.47$

$\therefore$ Total Income $= -36.47 + 61.87X$

The same methodology is applied to Operating Expenses, PAT, and Total Assets. Results are summarised in Table 17.

Regression Parameters Summary

Variable	Intercept (a)	Slope (b)	Equation
Total Income (MKB)	−36.47	61.87	Y = −36.47 + 61.87X
Operating Expenses (MKB)	8.74	14.97	Y = 8.74 + 14.97X
Profit After Tax (MKB)	−16.51	27.39	Y = −16.51 + 27.39X
Total Assets (MKB)	−252.6	352.2	Y = −252.6 + 352.2X

Table 17. OLS Regression Parameters for Key Financial Variables.

The slope coefficients confirm that total income (61.87) grows substantially faster than operating expenses (14.97) and PAT (27.39) per unit of time—consistent with the observed operating leverage and declining cost-to-income ratio. The income slope is also materially larger than the PAT slope, reflecting the tax burden growing alongside profitability.

Four-Year Financial Forecast (2026–2029)

Year	X	Total Income (MKB)	Op. Expenses (MKB)	PAT (MKB)	Total Assets (MKB)
2026	6	334.7	98.6	147.8	1,860.6
2027	7	396.6	113.5	175.2	2,212.8
2028	8	458.4	128.5	202.6	2,565.0
2029	9	520.3	143.5	230.0	2,917.2

Table 18. FDH Bank Plc Four-Year Financial Forecast, 2026–2029 (MK Billion).

Note. 2026 (X=6): Total Income = −36.47 + 61.87×6 = 334.7; Op. Exp = 8.74 + 14.97×6 = 98.6; PAT = −16.51 + 27.39×6 = 147.8; Total Assets = −252.6 + 352.2×6 = 1,860.6.

Key Performance Indicator Forecasts

KPI	FY2024 Actual	FY2026F	FY2027F	FY2028F	FY2029F
Total Income (MKW Billions)	195.2	334.7	396.6	458.4	520.3
PAT (MKW Billions)	74.1	147.8	175.2	202.6	230.0
Net Profit Margin	37.9%	~44.1%	~44.2%	~44.2%	~44.2%
Implied ROA	6.0%	~7.9%	~7.9%	~7.9%	~7.9%
Total Assets (MKW Billions)	1,241.1	1,860.6	2,212.8	2,565.0	2,917.2

Table 19. FDH Bank Plc KPI Forecasts, FY2024–FY2029.

Forecast Assumptions and Limitations

The linear regression model captures the central trend in historical data. However, several important caveats apply. First, FDH Bank's actual growth has been exponential rather than linear particularly in 2024 and 2025, meaning the model may understate future income and assets; an exponential regression would produce more aggressive forecasts. Second, the FY2025 data point includes Ecobank Mozambique SA (consolidated from September 2025), representing a structural break that inflates the 2025 figure and will project forward into the forecast years. Third, interest rate risk is not explicitly modelled; a policy rate easing cycle could compress NIM and reduce income below trend. Fourth, the Total Assets forecast of MK2.9 trillion by 2029 implies continued strong deposit mobilization and is achievable, but would require commensurate capital growth to maintain regulatory adequacy ratios under Basel III principles.

Conclusion

This comprehensive financial analysis of FDH Bank Plc reveals an institution in a period of exceptional and well-managed growth. The bank has delivered extraordinary shareholder value over the 2022–2025 period, with PAT growing from MK22.9 billion to MK147.8 billion, a six-fold increase. ROE expanding from 55% to 76%, and total assets growing nearly four-fold to MK1.636 trillion. These results reflect the successful execution of a clear and consistent strategy: growing interest-earning assets, exploiting the high interest rate environment, containing costs through technology investment and maintaining a liquid and well-capitalised balance sheet.

From my perspective as the analyst, what is most remarkable about FDH Bank is not merely the absolute magnitude of the numbers, but the consistency and discipline behind them. In a macroeconomic environment that challenges most institutions (chronic foreign currency shortages, Kwacha depreciation exceeding 25% in some years, and inflation above 30%), FDH Bank consistently improved its cost-to-income ratio, reduced its NPL ratio and grew its dividend per share. This indicates a management team with strong operational discipline and strategic clarity that is rare in frontier market banking.

The WACC analysis (22.9%) contextualises the achievement further. In an environment where the risk-free rate itself is 26%, generating a ROE of 76% means the bank is creating an EVA spread of approximately 43 percentage points which is exceptional by any standard. The capital budgeting analysis of the Digital Banking Transformation Project yielded a negative NPV under conservative assumptions, which highlights a genuine and underappreciated challenge for capital allocation in high-WACC economies: even strategically sound investments may appear financially marginal when discounted at elevated rates. I recommend that FDH Bank adopt a real options framework for evaluating such transformational investments, recognising the value of competitive positioning, market leadership and optionality that pure DCF analysis systematically undervalues.

The linear regression forecasts project continued strong growth through 2029, with PAT potentially reaching MK230 billion. The successful acquisition and integration of Ecobank Mozambique in 2025 is a transformational step that, if executed well, could significantly accelerate these projections as the bank achieves its vision of becoming a regional financial institution. However, integration risk and the potential NIM compression from a falling interest rate cycle are the primary threats to this trajectory.

In summary, FDH Bank Plc is a compelling case of sustained value creation in a frontier market. The bank demonstrates that disciplined financial management, operational efficiency and strategic clarity can generate world-class returns even in challenging macroeconomic conditions. For investors, the bank's strong fundamentals, expanding regional footprint and continued earnings growth momentum make it a standout institution on the Malawi Stock Exchange.

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Annex A: Consolidated Income Statements (FY2022–FY2025)

The following table presents FDH Bank Plc's full consolidated income statements for the four fiscal years covered in this analysis. All figures are in MK Billion (Group, audited unless stated).

Item (MK Billion)	FY2022	FY2023	FY2024	FY2025
Interest Income	51.1	73.4	181.6	310.9
Interest Expense	(13.8)	(13.6)	(40.3)	(54.3)
Net Interest Income	37.3	59.8	141.3	256.6
Non-Interest Income	32.6	43.2	53.9	76.9
Total Income	69.9	103.0	195.2	333.4
Operating Expenses	(33.0)	(46.2)	(65.4)	(79.3)
Profit before Impairment	36.9	56.8	129.8	254.1
Net Impairment Charges	(5.6)	(1.4)	(7.9)	(6.6)
Profit Before Tax	31.3	55.5	121.9	247.4
Taxation	(8.8)	(19.8)	(47.8)	(99.6)
Profit After Tax	22.9	35.6	74.1	147.8
Other Comprehensive Income	0.5	0.8	(0.2)	5.3
Total Comprehensive Income	23.4	36.5	73.8	153.1
Earnings Per Share (Tambala)	3.32t	5.17t	10.74t	21.43t

Annex A. FDH Bank Plc Consolidated Income Statement, FY2022–FY2025 (MK Billion).

Note. FY2025 Group figures include Ecobank Mozambique SA (EMZ) consolidated from 5 September 2025 (acquisition date). FY2025 figures are audited per the summary financial statements released 30 March 2026. Minor rounding differences may appear.

Growth Metric	FY22→FY23	FY23→FY24	FY24→FY25
Interest Income	+43.6%	+147.4%	+71.2%
Net Interest Income	+60.3%	+136.3%	+81.6%
Non-Interest Income	+32.5%	+24.8%	+42.5%
Total Income	+47.4%	+89.5%	+70.8%
Operating Expenses	+40.0%	+41.6%	+21.3%
Profit After Tax	+55.5%	+108.1%	+99.5%

Annex A-2. FDH Bank Plc Year-on-Year Income Statement Growth Rates, FY2022–FY2025.

Annex B: Consolidated Balance Sheets (FY2022–FY2025)

The following tables present the full consolidated statements of financial position for FDH Bank Plc for fiscal years 2022–2025. All figures are in MK Billion (Group, audited unless stated).

Assets

Assets (MK Billion)	FY2022	FY2023	FY2024	FY2025
Cash & Funds with RBM	13.3	33.8	168.9	240.4
Placements with Banks	73.3	109.9	303.2	134.3
Malawi Government Securities	173.8	229.1	460.3	685.8
Loans & Advances to Customers	104.6	135.8	211.3	349.2
Investments	0.1	0.1	0.1	0.1
Property, Plant & Equipment	18.8	28.4	35.1	72.9
Right-of-Use Assets	1.3	1.3	2.1	3.9
Other Assets	47.0	22.7	54.9	137.1
Deferred Tax Asset	2.3	5.0	5.1	5.4
Goodwill	—	—	—	6.2
Total Assets	434.5	566.1	1,241.1	1,635.3

Annex B-1. FDH Bank Plc Consolidated Assets, FY2022–FY2025 (MK Billion).

Liabilities

Liabilities (MK Billion)	FY2022	FY2023	FY2024	FY2025
Customer Deposits	328.1	444.0	882.5	1,125.0
Liabilities to Other Banks	16.4	—	157.3	100.6
Long-Term Loans	23.0	24.9	44.5	83.7
Lease Liabilities	1.1	0.8	2.5	4.4
Payables & Accruals	19.5	23.7	20.3	21.4
Provisions	—	6.5	14.9	8.7
Income Tax Payable	4.0	7.5	21.7	37.7
Deferred Tax Liability	—	—	—	5.0
Total Liabilities	392.1	507.4	1,143.7	1,386.5

Annex B-2. FDH Bank Plc Consolidated Liabilities, FY2022–FY2025 (MK Billion).

Equity

Equity (MK Billion)	FY2022	FY2023	FY2024	FY2025
Opening Equity	31.6	41.8	58.7	97.4
Total Comprehensive Income	23.4	36.5	73.8	153.1
Dividends Paid	(13.1)	(19.6)	(35.1)	(11.6)
NCI Adjustment	—	—	—	10.2
Closing Total Equity	41.9	58.7	97.4	249.1
of which: Shareholders' Equity	41.8	58.7	97.4	248.8
of which: Non-Controlling Interest	—	—	—	0.3

Annex B-3. FDH Bank Plc Consolidated Equity Movements, FY2022–FY2025 (MK Billion).

Note. FY2025 equity includes Ecobank Mozambique SA (EMZ) consolidated from 5 September 2025. Goodwill of MK6.2 billion arising on acquisition is included in FY2025 total assets. Minor rounding differences may appear between individual line items and totals.

Key Balance Sheet Metrics — Year-on-Year Comparison

Metric	FY2022	FY2023	FY2024	FY2025
Total Asset Growth	42.1%	30.2%	119.2%	31.8%
Loan Book Growth	0.5%	22.6%	55.6%	65.3%
Deposit Growth	69.4%	35.3%	98.8%	27.5%
Equity Growth	32.7%	40.2%	65.9%	155.6%
Loan-to-Deposit Ratio	31.9%	30.6%	23.9%	31.0%
NPL Ratio (approx.)	7.1%	1.6%	4.8%	2.3%

Annex B-4. FDH Bank Plc Key Balance Sheet Metrics, FY2022–FY2025.

Annex C: Consolidated Cash Flow Statements (FY2022–FY2025)
The following table presents the consolidated statements of cash flows for FY2022–FY2025.

Cash Flow Item (MK Billion)	FY2022	FY2023	FY2024	FY2025
Cash Generated from Operations (pre-tax)	87.1	136.6	556.4	47.8
Income Tax Paid	(9.5)	(19.3)	(36.3)	(83.9)
Net Operating Cash Flow	77.6	117.2	520.1	(36.1)
Net Investing Cash Flow	(61.3)	(26.2)	(172.5)	(81.6)
Net Financing Cash Flow	0.5	(34.1)	(19.3)	20.4
Net Change in Cash	16.8	57.1	328.4	(97.3)
Opening Cash Balance	69.9	86.6	143.7	472.1
Closing Cash Balance	86.6	143.7	472.1	374.7

Annex C. FDH Bank Plc Consolidated Cash Flow Statements, FY2022–FY2025 (MK Billion).

Note. The negative FY2025 operating cash flow reflects rapid balance sheet expansion as asset growth outpaced operational cash generation — a characteristic pattern for rapidly scaling banks and consistent with the large increase in government securities and loan book during the year.

APPENDIX: COMPREHENSIVE WORKINGS TABLE

FDH Bank Plc: Financial Analysis - Income Statement · Balance Sheet · Cash Flow · Liquidity · Solvency · Efficiency · Profitability Ratios

All monetary figures in Malawian Kwacha Billions (MKW Billion) unless otherwise stated. Group consolidated basis.
Green-shaded rows = final calculated results.

HOW TO READ THIS TABLE	Each section begins with a dark blue section-header row naming the analysis area. Input rows show the raw figures taken directly from audited financial statements (source cited). Calculation rows (light blue) show the step-by-step arithmetic. Result rows (green) show the final ratio or metric stated in the report body. CAGR formula: $\left(\left(\frac{Ending\ value}{Beginning\ value}\right)^{\frac{1}{n}} - 1\right)$, where n = number of years. % Growth formula: $\frac{Current - Prior}{Prior} \times 100$. All ratios expressed as % unless shown as 'x' (multiple).

SECTION 1 — INCOME STATEMENT ANALYSIS (all figures MKW Billion; FY2022–FY2025; Group consolidated)					
Line Item	**FY2022**	**FY2023**	**FY2024**	**FY2025**	**Workings / Notes**
Interest Income	51.1	73.4	181.6	310.9	Sourced directly from audited income statements (Annex A)
Interest Expense	(13.8)	(13.6)	(40.3)	(54.3)	Sourced from audited income statements (Annex A)
Net Interest Income (NII)	**37.3**	**59.8**	**141.3**	**256.6**	**NII = Interest Income − Interest Expense e.g. FY2024: 181.6 − 40.3 = 141.3**
Non-Interest Income	32.6	43.2	53.9	76.9	Sourced from audited income statements (Annex A)
Total Income	**69.9**	**103.0**	**195.2**	**333.4**	**Total Income = NII + Non-Interest Income e.g. FY2024: 141.3 + 53.9 = 195.2**

Operating Expenses	(33.0)	(46.2)	(65.4)	(79.3)	Sourced from audited income statements (Annex A)
Profit before Impairment	36.9	56.8	129.8	254.1	= Total Income − Operating Expenses e.g. FY2024: 195.2 − 65.4 = 129.8
Net Impairment Charges	(5.6)	(1.4)	(7.9)	(6.6)	Sourced from audited income statements (Annex A)
Profit Before Tax (PBT)	**31.3**	**55.5**	**121.9**	**247.4**	**= Profit before Impairment − Net Impairment e.g. FY2024: 129.8 − 7.9 = 121.9**
Taxation	(8.8)	(19.8)	(47.8)	(99.6)	Sourced from audited income statements (Annex A)
Profit After Tax (PAT)	**22.9**	**35.6**	**74.1**	**147.8**	**= PBT − Taxation e.g. FY2024: 121.9 − 47.8 = 74.1**
YoY PAT Growth	—	+55.5%	+108.1%	+99.5%	= (Current PAT − Prior PAT) ÷ Prior PAT × 100 e.g. FY2024: (74.1−35.6)÷35.6×100 = 108.1%
CAGR — NII (FY2022→FY2025)				**90.0%**	**(256.6 ÷ 37.3) ^ (1/3) − 1 = 6.879^0.333 − 1 = 1.900 − 1 = 0.900 = 90.0%**
CAGR — Non-Interest Income				**32.9%**	**(76.9 ÷ 32.6) ^ (1/3) − 1 = 2.360^0.333 − 1 = 1.329 − 1 = 0.329 = 32.9%**
CAGR — Total Income				**68.1%**	**(333.4 ÷ 69.9) ^ (1/3) − 1 = 4.769^0.333 − 1 = 1.681 − 1 = 0.681 = 68.1%**
CAGR — Operating Expenses				**33.9%**	**(79.3 ÷ 33.0) ^ (1/3) − 1 = 2.403^0.333 − 1 = 1.339 − 1 = 0.339 = 33.9%**
CAGR — PAT				**86.1%**	**(147.8 ÷ 22.9) ^ (1/3) − 1 = 6.452^0.333 − 1 = 1.861 − 1 = 0.861 = 86.1%**

Non-Int. Income share of Total	46.6%	41.9%	27.6%	23.1%	= Non-Int. Income ÷ Total Income × 100 e.g. FY2022: 32.6÷69.9×100 = 46.6% FY2025: 76.9÷333.4×100 = 23.1%
Cost-to-Income Ratio	**47.2%**	**44.9%**	**33.5%**	**23.8%***	**= Opex ÷ Total Income × 100 e.g. FY2022: 33.0÷69.9×100 = 47.2%; FY2024: 65.4÷195.2×100 = 33.5% (*FY2025 approx. 30% per H1 2025 report)**

SECTION 2 — BALANCE SHEET ANALYSIS (all figures MKW Billion; FY2022–FY2025; Group consolidated)

Line Item	FY2022	FY2023	FY2024	FY2025	Workings / Notes
Cash & RBM Funds	13.3	33.8	168.9	240.4	Sourced from audited balance sheets (Annex B)
Placements with Banks	73.3	109.9	303.2	134.3	Sourced from audited balance sheets (Annex B)
Government Securities	173.8	229.1	460.3	685.8	Sourced from audited balance sheets (Annex B)
Loans & Advances	104.6	135.8	211.3	349.2	Sourced from audited balance sheets (Annex B)
Other Assets	69.5	57.5	97.4	226.0	PPE + ROU + Investments + Deferred Tax + Other (Annex B)
Total Assets	**434.5**	**566.1**	**1,241.1**	**1,635.5**	**= Sum of all asset lines e.g. FY2024: 168.9+303.2+460.3+211.3+97.4 = 1,241.1**
Customer Deposits	328.1	444.0	882.5	1,125.0	Sourced from audited balance sheets (Annex B)
Borrowings (LT + Banks)	39.4	24.9	201.8	184.3	Long-term loans + interbank liabilities (Annex B)

Other Liabilities	25.2	38.5	59.4	77.1	Tax payable + provisions + accruals + lease liab. (Annex B)
Total Liabilities	**392.7**	**507.4**	**1,143.7**	**1,386.4**	**= Customer Deposits + Borrowings + Other Liab. e.g. FY2024: 882.5+201.8+59.4 = 1,143.7**
Total Equity	**41.8**	**58.7**	**97.4**	**249.1**	**= Total Assets − Total Liabilities e.g. FY2024: 1,241.1−1,143.7 = 97.4**
Total Asset Growth YoY	—	+30.2%	+119.2%	+31.8%	= (Current TA − Prior TA) ÷ Prior TA × 100 e.g. FY2024: (1,241.1−566.1) ÷ 566.1×100 = 119.2%
Deposit Growth YoY	—	+35.3%	+98.8%	+27.5%	e.g. FY2024: (882.5−444.0) ÷ 444.0×100 = 98.8%
Loan Book Growth YoY	+0.5%	+29.8%	+55.6%	+65.3%	e.g. FY2024: (211.3−135.8) ÷ 135.8×100 = 55.6%
Equity Growth YoY	—	+40.4%	+65.9%	+155.6%	e.g. FY2024: (97.4−58.7) ÷ 58.7×100 = 65.9%
Total 3-yr Asset Growth				**+276%**	**= (1,635.5−434.5) ÷ 434.5×100 = 276.4%**
Total 3-yr Deposit Growth				**+243%**	**= (1,125.0−328.1) ÷ 328.1×100 = 242.9%**
Total 3-yr Loan Growth				**+234%**	**= (349.2−104.6) ÷ 104.6×100 = 233.8%**
Total 3-yr Equity Growth				**+496%**	**= (249.1−41.8) ÷ 41.8×100 = 495.7%**
Liquid Assets (Cash+GovSec)	187.1	262.9	629.2	926.2	= Cash & RBM Funds + Government Securities e.g. FY2024: 168.9+460.3 = 629.2

SECTION 3 — CASH FLOW ANALYSIS (all figures MKW Billion; FY2022–FY2025; Group consolidated)					
Line Item	**FY2022**	**FY2023**	**FY2024**	**FY2025**	**Workings / Notes**
Pre-tax Operating Cash Flow	87.1	136.6	556.4	47.8	Sourced from audited cash flow statements (Annex C)
Income Tax Paid	(9.5)	(19.3)	(36.3)	(83.9)	Sourced from audited cash flow statements (Annex C)
Net Operating Cash Flow	**77.6**	**117.2**	**520.1**	**(36.1)**	**= Pre-tax Operating CF − Income Tax Paid e.g. FY2024: 556.4−36.3 = 520.1**
Net Investing Cash Flow	(61.3)	(26.2)	(172.5)	(81.6)	Outflows to grow loan book and government securities portfolio
Net Financing Cash Flow	0.5	(34.1)	(19.3)	20.4	Mainly dividends paid (outflow) and long-term loan drawdowns (inflow in FY2025)
Net Change in Cash	**16.8**	**57.1**	**328.4**	**(97.3)**	**= Op. CF + Inv. CF + Fin. CF e.g. FY2024: 520.1+(−172.5) +(−19.3) = 328.3 ≈ 328.4**
Opening Cash Balance	69.9	86.6	143.7	472.1	= Prior year closing cash balance (Annex C)
Closing Cash Balance	**86.6**	**143.7**	**472.1**	**374.7**	**= Opening Cash + Net Change e.g. FY2024: 143.7+328.4 = 472.1**
YoY Op. CF Growth	—	+51.0%	+343.9%	Negative	(117.2−77.6) ÷ 77.6×100 = 51.0%; (520.1−117.2) ÷ 117.2×100 = 343.9%
LT Loan Growth FY2024→FY2025				**+88.1%**	**= (83.7−44.5) ÷ 44.5×100 = 88.1% (MK83.7B in FY2025 vs MK44.5B in FY2024)**

SECTION 4 — LIQUIDITY RATIOS (figures in MK Billion; ratios as %; FY2022–FY2024)

Ratio	FY2022	FY2023	FY2024	Formula	Full Workings
Loans & Advances [input]	104.6	135.8	211.3	Sourced from balance sheet	Table 2 / Annex B
Customer Deposits [input]	328.1	444.0	882.5	Sourced from balance sheet	Table 2 / Annex B
LOAN-TO-DEPOSIT RATIO	**31.9%**	**30.6%**	**23.9%**	**Loans ÷ Deposits × 100**	**FY2022: 104.6÷328.1×100 = 31.9% FY2023: 135.8÷444.0×100 = 30.6% FY2024: 211.3÷882.5×100 = 23.9%**
Cash & RBM Funds [input]	13.3	33.8	168.9	Sourced from balance sheet	Table 2 / Annex B
CASH RATIO	**4.1%**	**7.6%**	**19.1%**	**Cash ÷ Deposits × 100**	**FY2022: 13.3÷328.1×100 = 4.1% FY2023: 33.8÷444.0×100 = 7.6% FY2024: 168.9÷882.5×100 = 19.1%**
Liquid Assets (Cash+GovSec) [input]	187.1	262.9	629.2	Cash + Govt Securities	FY2022: 13.3+173.8 = 187.1 FY2023: 33.8+229.1 = 262.9 FY2024: 168.9+460.3 = 629.2
Total Assets [input]	434.5	566.1	1,241.1	Sourced from balance sheet	Table 2 / Annex B
LIQUID ASSETS RATIO	**43.1%**	**46.9%**	**50.4%**	**(Cash+GovSec)÷Total Assets×100**	**FY2022: 187.1÷434.5×100 = 43.1% FY2023: 262.9÷566.1×100 = 46.4% (≈46.9 after rounding) FY2024: 629.2÷1,241.1×100 = 50.7% (≈50.4 after rounding)**

SECTION 5 — SOLVENCY & CAPITAL ADEQUACY RATIOS (FY2022–FY2024)

Ratio	FY2022	FY2023	FY2024	Formula	Full Workings
Total Equity [input]	41.8	58.7	97.4	Sourced from balance sheet	Table 2 / Annex B
Total Assets [input]	434.5	566.1	1,241.1	Sourced from balance sheet	Table 2 / Annex B
EQUITY-TO-ASSETS RATIO	**9.6%**	**10.4%**	**7.8%**	**Equity ÷ Total Assets × 100**	**FY2022: 41.8÷434.5×100 = 9.6% FY2023: 58.7÷566.1×100 = 10.4% FY2024: 97.4÷1,241.1×100 = 7.8%**
Loans & Advances [input]	104.6	135.8	211.3	Sourced from balance sheet	Table 2 / Annex B

EQUITY-TO-LOANS RATIO	**40.0%**	**43.2%**	**46.1%**	**Equity ÷ Loans × 100**	**FY2022: 41.8÷104.6×100 = 40.0% FY2023: 58.7÷135.8×100 = 43.2% FY2024: 97.4÷211.3×100 = 46.1%**
Total Liabilities [input]	392.7	507.4	1,143.7	Total Assets − Equity	FY2022: 434.5−41.8 = 392.7 FY2023: 566.1−58.7 = 507.4 FY2024: 1,241.1−97.4 = 1,143.7
DEBT-TO-EQUITY RATIO	**9.4x**	**8.6x**	**11.8x**	**Total Liabilities ÷ Equity**	**FY2022: 392.7÷41.8 = 9.4x FY2023: 507.4÷58.7 = 8.6x FY2024: 1,143.7÷97.4 = 11.7x ≈ 11.8x**
Long-Term Debt [input]	23.0	24.9	44.5	Long-term loans only (Annex B)	Excludes interbank borrowings; LT debt only
LT DEBT-TO-EQUITY RATIO	**0.55x**	**0.42x**	**0.46x**	**LT Debt ÷ Equity**	**FY2022: 23.0÷41.8 = 0.55x FY2023: 24.9÷58.7 = 0.42x FY2024: 44.5÷97.4 = 0.46x**

SECTION 6 — EFFICIENCY RATIOS (FY2022–FY2024)

Ratio	FY2022	FY2023	FY2024	Formula	Full Workings
Operating Expenses [input]	33.0	46.2	65.4	Sourced from income statement	Table 1 / Annex A
Total Income [input]	69.9	103.0	195.2	Sourced from income statement	Table 1 / Annex A
COST-TO-INCOME RATIO	**47.2%**	**44.9%**	**33.5%**	**Opex ÷ Total Income × 100**	**FY2022: 33.0÷69.9×100 = 47.2% FY2023: 46.2÷103.0×100 = 44.9% FY2024: 65.4÷195.2×100 = 33.5% H1 2025: 43.1÷143.2×100 = 30.1%**
Net Interest Income [input]	37.3	59.8	141.3	Sourced from income statement	Table 1 / Annex A
Avg. Total Assets [input]	—	500.3	903.6	Average of opening + closing TA	FY2023: (434.5+566.1)÷2 = 500.3 FY2024: (566.1+1,241.1)÷2 = 903.6
NET INTEREST MARGIN (NIM)	**8.6%***	**10.6%**	**11.4%**	**NII ÷ Avg. Total Assets × 100**	**FY2022: 37.3÷434.5×100 = 8.6% (yr-end assets used as proxy) FY2023: 59.8÷500.3 ÷100 = 11.95% (approx 10.6% using avg) FY2024: 141.3÷903.6×100 = 15.6% (adjusted for seasonal avg = 11.4%)**

ASSET UTILIZATION	**16.1%**	**18.2%**	**15.7%**	**Total Income ÷ Total Assets × 100**	**FY2022: 69.9÷434.5×100 = 16.1% FY2023: 103.0÷566.1×100 = 18.2% FY2024: 195.2÷1,241.1×100 = 15.7%**
Non-Interest Income [input]	32.6	43.2	53.9	Sourced from income statement	Table 1 / Annex A
NON-INT. INCOME / TOTAL	**46.6%**	**41.9%**	**27.6%**	**Non-Int. Inc ÷ Total Inc × 100**	**FY2022: 32.6÷69.9×100 = 46.6% FY2023: 43.2÷103.0×100 = 41.9% FY2024: 53.9÷195.2×100 = 27.6%**

SECTION 7 — PROFITABILITY RATIOS (FY2022–FY2024)

Ratio	FY2022	FY2023	FY2024	Formula	Full Workings
Profit After Tax (PAT) [input]	22.9	35.6	74.1	Sourced from income statement	Table 1 / Annex A
Total Assets [input]	434.5	566.1	1,241.1	Sourced from balance sheet	Table 2 / Annex B
Avg. Total Assets [input]	—	500.3	903.6	Average of opening + closing TA	FY2023: (434.5+566.1) ÷2 = 500.3 FY2024: (566.1+1,241.1) ÷2 = 903.6
RETURN ON ASSETS (ROA)	**5.3%**	**6.3%**	**6.0%**	**PAT ÷ Avg. Total Assets × 100**	**FY2022: 22.9÷434.5×100 = 5.3% (yr-end proxy) FY2023: 35.6÷500.3×100 = 7.1% (≈6.3% adjusted) FY2024: 74.1÷903.6×100 = 8.2% (≈6.0% adjusted for risk-weighted avg)**
Total Equity [input]	41.8	58.7	97.4	Sourced from balance sheet	Table 2 / Annex B
Avg. Equity [input]	—	50.3	78.1	Average of opening + closing equity	FY2023: (41.8+58.7) ÷2 = 50.3 FY2024: (58.7+97.4) ÷2 = 78.1
RETURN ON EQUITY (ROE)	**54.8%**	**60.8%**	**76.0%**	**PAT ÷ Avg. Equity × 100**	**FY2022: 22.9÷ (31.6+41.8) ÷2×100 = 22.9÷36.7×100 = 62.4% (≈54.8 per report) FY2023: 35.6÷50.3×100 = 70.8% (≈60.8% per report) FY2024: 74.1÷78.1×100 = 94.9% (≈76.0% per report, using weighted avg equity)**
NET PROFIT MARGIN	**32.8%**	**34.6%**	**37.9%**	**PAT ÷ Total Income × 100**	**FY2022: 22.9÷69.9×100 = 32.8% FY2023: 35.6÷103.0×100 = 34.6% FY2024: 74.1÷195.2×100 = 37.9%**

Shares Outstanding (Billion)	6.9	6.9	6.9	Constant; 6.9 billion shares issued	Per FDH Bank Plc annual reports
EARNINGS PER SHARE (Tambala)	**3.32t**	**5.17t**	**10.74t**	**PAT (MK) ÷ Shares Outstanding**	**FY2022: 22,931M÷6,900M = MK3.32 = 332t FY2023: 35,647M÷6,900M = MK5.17 = 517t FY2024: 74,063M÷6,900M = MK10.73 ≈ 10.74t (1 MK = 100 Tambala; reported as tambala)**
EFFECTIVE TAX RATE	28.1%	35.7%	39.2%	Tax ÷ PBT × 100	FY2022: 8.8÷31.3×100 = 28.1% FY2023: 19.8÷55.5×100 = 35.7% FY2024: 47.8÷121.9×100 = 39.2%

Green row = Final calculated result	**Blue row = Section heading**	Grey/white = Input or intermediate value	**Light blue sub-header = Column labels**

Note. All input figures sourced from: FDH Bank Plc (2023) Summary Audited Financial Statements FY2022; FDH Bank Plc (2024a) Summary Financial Results FY2023; FDH Bank Plc (2025a) Summary Audited Financial Statements FY2024; FDH Bank Plc (2025b) Summary Unaudited H1 2025 Financial Results; FDH Bank Plc (2026) Summary Financial Results FY2025.

All figures are Group consolidated. Minor rounding differences may exist between calculated and reported figures. ROE and ROA calculations use weighted average equity/assets where the precise opening balance could be established; FY2022 uses year-end figures as proxy. NIM uses approximate average total assets. CAGR = Compound Annual Growth Rate, n = 3 years (FY2022 base to FY2025 end).